Tencent Music Entertainment Group Investor Presentation

(NYSE: TME & HKEX: 1698)

March 2026

腾讯音乐娱乐集团
TENCENT MUSIC ENTERTAINMENT

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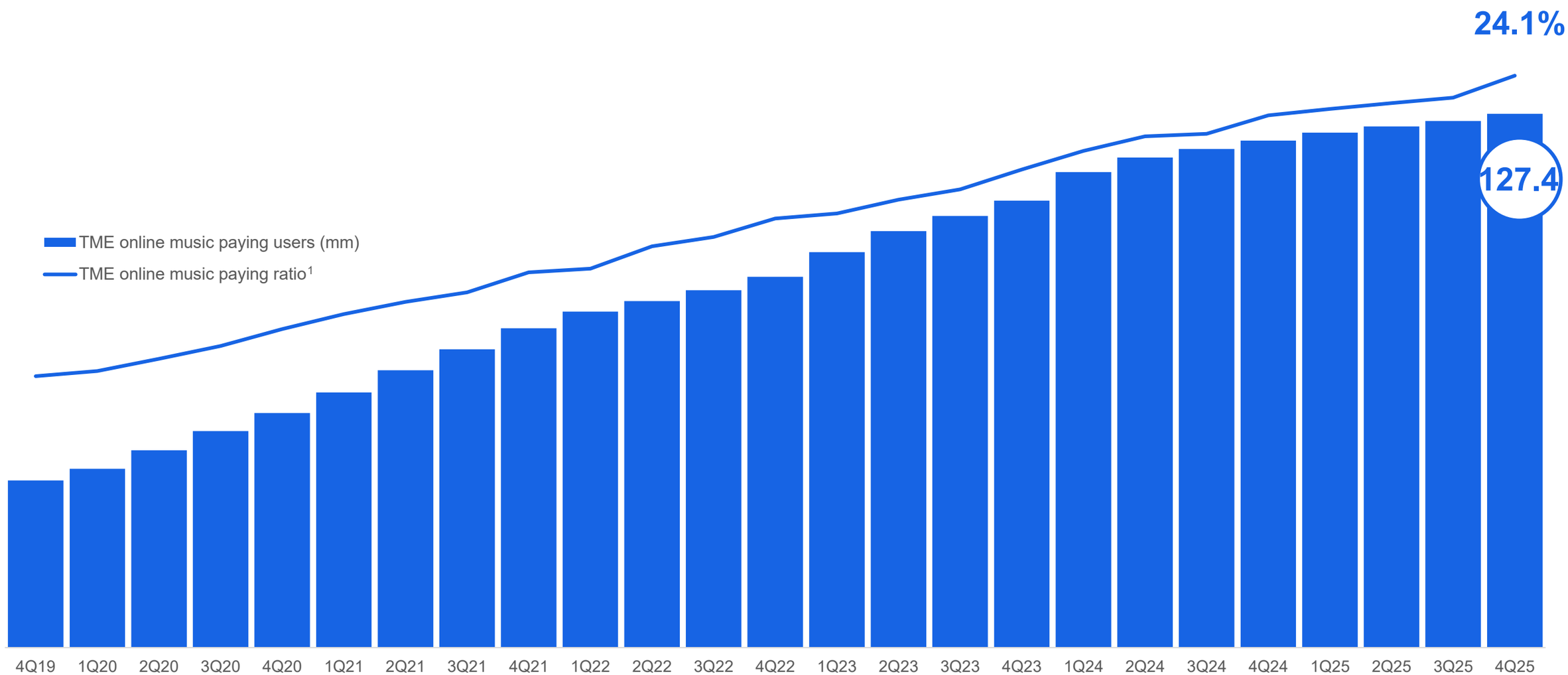
01

COMPANY OVERVIEW

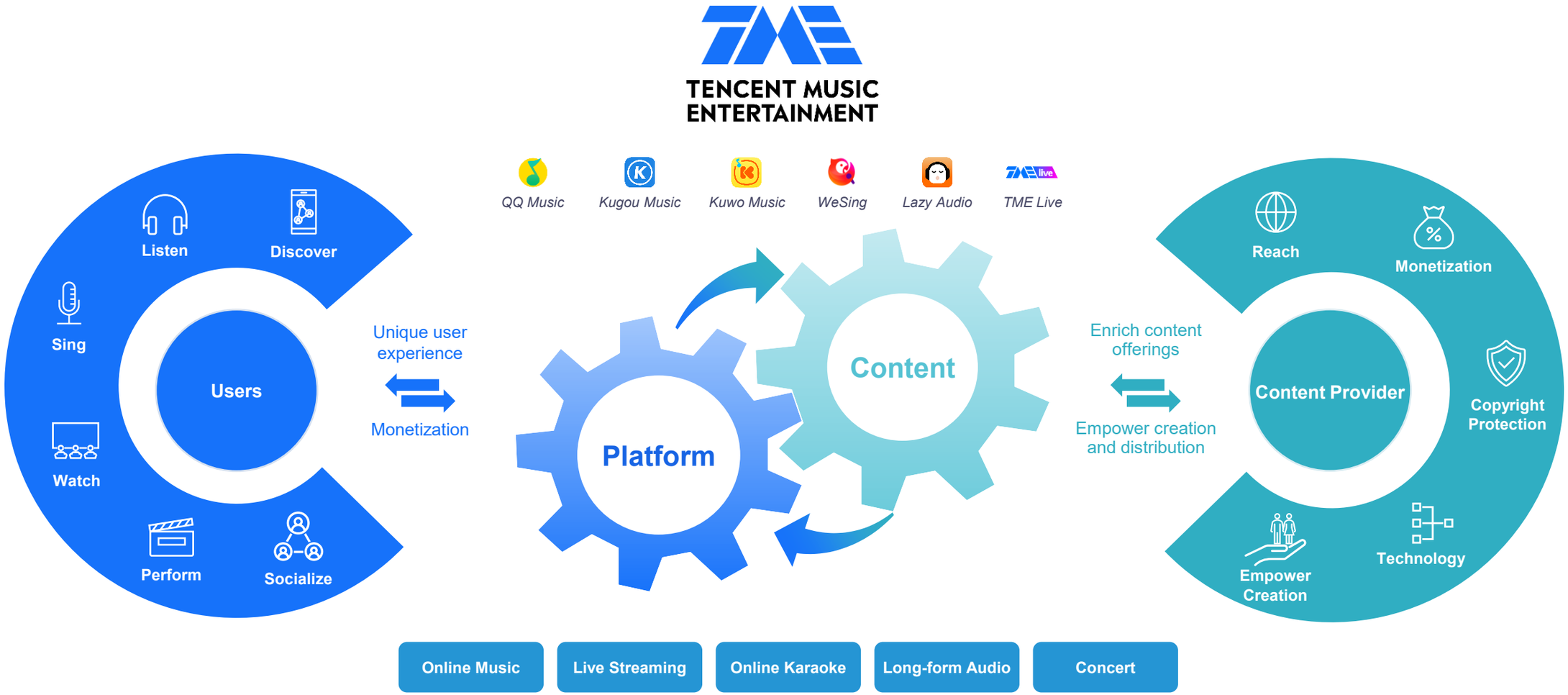
Relentless Commitment to the Healthy Development of China's Music Industry

High-quality content and services continuously driving paying user loyalty



Note: 1. Paying ratio is calculated by dividing the number of online music paying users by online music MAUs. 2. We adopted the number of paid subscribers and ARPPU as key operating metrics for our online music services at the time of our listing; however, our business model has significantly evolved in recent years. As advertising and other IP related offerings scale, and as we offer multi-tiered membership for online music subscriptions, the business impact of each paid membership varies. As a result, we are increasingly focused on revenue and profit as our primary performance indicators. Given this evolution, starting from next quarter, we will discontinue the disclosure of certain quarterly operating metrics, including online music MAU, paying users and ARPPU. We will instead report the number of total paying users across our music services annually, as of year-end.

Our Dual Engine Content-and-Platform Strategy



Create Endless Possibilities with Music and Technology

All-in-one Online Music and Audio Entertainment Destination

All-around suite of music and audio entertainment products and services

Online Music
- *QQ Music*
- *Kugou Music*
- *Kuwo Music*

Online Karaoke
- *WeSing*
- *Kugou Changchang*

Live Streaming
- *Kugou Live*
- *Kuwo Live*

Long-form Audio
- *Lazy Audio*

Live Events
- *TME Live*

Original Content
- *Producer Studio*
- *Venus Music Assistant*

Musician Platform
- *Tencent Musician Platform*

Virtual Fan-artist Community
- *Penguin Starlight Island*

Large User Base + Innovative Product Matrix + Proprietary Technology + Comprehensive Content Library + Diversified Monetization

Leading Online Music and Audio Entertainment Platform in China

Leading Platform

528mm
Online music MAUs[2]

3 out of Top 5
Music mobile apps in China[1]

High-quality Growth

127.4mm
Online music subscribers[2]

5.3%
YoY growth

RMB11.9
Online music monthly ARPPU[2]

7.2%
YoY growth

Extensive Content

300mm+
Total music & audio tracks[3]

750K+
Number of indie musicians[3]

Innovative Technology

Winner
of the world-renowned MIREX global song recognition technology competition

World record
in the MIREX song prediction technology competition

Strong Monetization

RMB38.04bn
Total cash, cash equivalents, term deposits and short-term investments[4]

RMB32.9bn
LTM 2025[5] total revenues

30.2%
LTM 2025[5] adj. net margin

Note: 1. Three out of top five music mobile apps in terms of mobile MAUs in 2025; 2. In 4Q2025. For the definitions of the cited key operating metrics, please refer to the introduction section in the Company's 2024 20-F filed on April 23, 2025. Beginning in the first quarter of 2023, "online music MAUs" includes unique mobile and certain IoT devices. "Online music MAUs" for any given period (i) refers to the monthly average of the sum of the MAUs for that period; and (ii) includes QQ Music, Kugou Music, Kuwo Music and other music products, through which such product is accessed at least once in that month; duplicate access of different services by the same device is not eliminated from the calculation; "Online music monthly ARPPU" for any given period refers to the monthly average of (i) the subscription revenues of online music services for that period divided by (ii) the number of paying users of online music services for that period. 3. As of December 31, 2025; 4. As of December 31, 2025; 5. Last twelve months as of December 31, 2025.

02
BUSINESS OVERVIEW

Our Content: Most Comprehensive Music Library in China

Labels

Leading music library with diversified genres

- **Hundreds** of domestic and international music label partners[1] with **300mm+** music and audio tracks[1]
- **Head-start period** partnerships with top domestic and overseas labels and artists
- **Various trendy genres** across diverse languages including Chinese ancient style, Hip-hop, J-POP, K-POP, C-POP, ACG, EDM; and diverse **music verticals** such as gaming, classical, and electronic music
- **Largest Dolby Atmos** music library, offering users a more **immersive** listening experience, available on mobile, in-car, and PC platforms.
- **Innovative digital album offerings** with distinguished fan-artist interaction benefits and creative sales models

Content Production

Advanced technology-driven production capabilities

- Proprietary technology and deep understanding of music trends to systematically and efficiently **create, evaluate and promote** music
- Enhanced long-term value and versatility of **expansive IP portfolio**; and **innovative approaches to content co-production** with top musicians and partners
- **Robust LLM capabilities,** including inhouse and other leading models, as well as AI applications like Yuanbao, DeepSeek, **AIGC** tools & a **full-suite** of resources and services to bring novel experience to users and invigorate their passion for music creation

Tencent Musician Platform

Cultivate and empower indie musicians & original music

- **One-stop platform** with proprietary IPs to empower musicians with comprehensive resources and services & holistic support ranging from album production, online and offline promotions to diverse monetization avenues
- Rich variety of **creation scenarios** and opportunities to explore social and cultural values through music
- **More expansive and vibrant musician ecosystem** co-built with Weixin to widen artists' exposure

Promotional Capabilities

Integrated internal and external promotion resources

- **Broader Tencent ecosystem** for music promotion
- **Varied promotional channels** including variety shows, films, videos, performance events like sponsored music festivals, short video platforms and social media channels
- **Proven capabilities** to stage large-scale concert tours across both domestic and international markets
- **Utilize LLMs & industry-pioneered licensed AI features** to enhance promotion, distribution and copyright protection

In-house Studios

Broader Tencent Ecosystem

Note: 1. As of December 31, 2025.

Our Platform: Listen, Watch, Sing and Play

Product matrix + multi-pronged membership offerings cater to the varying needs of music consumers

20mm+
SVIP subscribers [1]

SVIP: capturing evolving user demands and deepening music consumption

SVIP penetration and ARPPU: improved through deepened collaborations with music labels and artists, and expansive privileges

SVIP ambassadors

Premium sound quality

Digital albums

Listen

Innovative and nimble features to elevate listening experience

Watch

Makes music content more visually memorable

TME platform hosted various offline concerts, with enhanced capabilities in end-to-end large-scale international concert production

G-DRAGON 2025 Tour

20 shows In 8 cities

Drew 260k+ attendees

The inaugural TIMA
20k+ attendees

TMEA 2025
10k+ attendees

Sing

From singing to multi-dimensional performance

Leading **online karaoke** social community with enriched real-time interaction scenarios & recording and singing optimization features to offer unique and engaging experience

Enhanced **in-car** experiences with premium sound effects and personalized on-demand features like AI vocal extraction and healing music playlists

Vocal Producer

Sound optimization feature

AI Chorus feature

Play

New ways to interact & fun personalized features to explore

AI music companion: Xiaoqin, along with other specific virtual DJs for each genre, brings interactive and fun experiences with newly added music recommendation feature

Integrated with Tencent's AI app Yuanbao, offering users more intelligent and personalized music streaming journeys

bubble and Weverse DM on QQ Music allows users to engage directly with hundreds of K-pop and C-pop artists

Note: 1. As of December 31, 2025.

Our Industry-leading Technology

Data → **Technology** → **Value Propositions**

- Listening / watching / download history
- Feed browsing activity
- Favorite songs / artists / genres
- Saved playlists
- Likes / shares / comments
- Virtual gifting activity
- Digital album purchases
- Bullet chats
- Locations

→ **Industry-leading Technology**

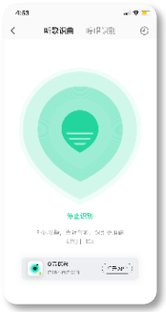
Data Analytics and Prediction

- Algorithms and multi-dimensional data insights, recommending music based on users' music tastes
- Targeted promotion system based on real-time data analysis, helping artists and songs reach the right audience
- Proprietary PDM predictive model at each key stage of the music production process, enabling creators to quickly make decisions

Superior Sound Quality and Effects

- Optimized sound quality and effects: Dolby Surround Sound, Adaptive Sound Adjustment, etc.
- Premium Sound series: Premium Master Tape, Premium Panoramic Sound 2.0, Viper Ultra Sound 2.0, DTS Booming External Speaker
- Proprietary sound effects: panoramic, DJ mode, super bass, acoustic clear voice, 4D vibe, Viper Panoramic Surround Sound, Viper External Amplification Enhancement, VIPER HiFi, One-Click Audio Enhancement 2.0
- Lite Listening Mode: AI-enhanced SQ Lite Mode

Song Recognition



- Identify songs by playing song track samples or short videos
- Award-winning technology: winner of MIREX[1] 2020 global song recognition technology competition; New world record in MIREX 2020 song prediction technology competition
- Facilitate user content discovery and searching
- QQ Music's Quick Listen mode: chorus-focused content discovery feature
- Kugou Music 12.0: featuring fast discovery of multiple song covers

AI Capabilities & AIGC Tools

- AI reading, AI-powered audio effects & AI voice extraction technologies
- Lingyin Engine and LyraSinger Engine: patented AI-based voice synthesis technology
- Muse Engine: enable automated large-scale music poster production
- Virtual performers: LUCY (鹿晓希), Xiaoqin (小琴), Shanbao (扇宝) and Anko (安可)
- Venus: introduced zero-shot AI-powered music production tool
- AIGC-empowered virtual gifts and functions for live streaming
- Vocal Producer: create AI-generated music content in multiple languages
- LLMs to better distribute new songs, and increase promotion accuracy

Note: 1. MIREX (Music Information Retrieval Evaluation eXchange) is a community-based formal evaluation framework coordinated and managed by the International Music Information Retrieval System Evaluation Laboratory (IMIRSEL) at the University of Illinois at Urbana-Champaign.

Our Diverse Monetization Opportunities

Solid subscription and strong non-subscription growth driven by differentiated content and diverse services

Subscription

Ads Membership

Premium Membership

Super VIP Membership

Mobile + IoT

Advertising

Innovative and Diverse Ad Formats

Freemium mode

Incentive ads

Sponsored music events

Multi-faceted Models

- Live events
- Long-form audio
- Digital albums
- Artist merchandise
- Copyright licensing

…continue to innovate service models

Music-centric Live Streaming

Leading music-centric live streaming platform in collaboration with online music services

For Users

Diversified categories
Leading technologies
Community & interest groups
Healthy content

Music-centric Live Streaming

QQ Music Live *Kugou Live* *Kuwo Live*

For Live Streamers

Talent discovery
Curation and promotion
Private domain
Music career path
Connect and interact with fans

Collaboration with Music

Organic Traffic	Music Content Enrichment	Artist Discovery	Monetization

Virtual Interactive Offerings

- ✓ Virtual idol cultivation and AI companion creation
- ✓ AIGC-empowered features, e.g. WeSing's AI singing and sing-along

Overseas Presence

- ✓ Localize online karaoke services based on successful domestic operational experiences
- ✓ ROI-focused operational strategy

03

FINANCIAL HIGHLIGHTS

Strong Monetization and Profitability

Monetization

RMB7.10bn

+21.7% YoY

4Q25 Revenue from online music services

RMB4.56bn

+13.2% YoY

Revenue from *music subscriptions*

RMB2.54bn

+40.8% YoY

Revenue from *other online music services*

Profitability

44.7%

+1.1ppt YoY

4Q25 Gross margin

RMB2.58bn

+7.6% YoY

4Q25 Non-IFRS net profit

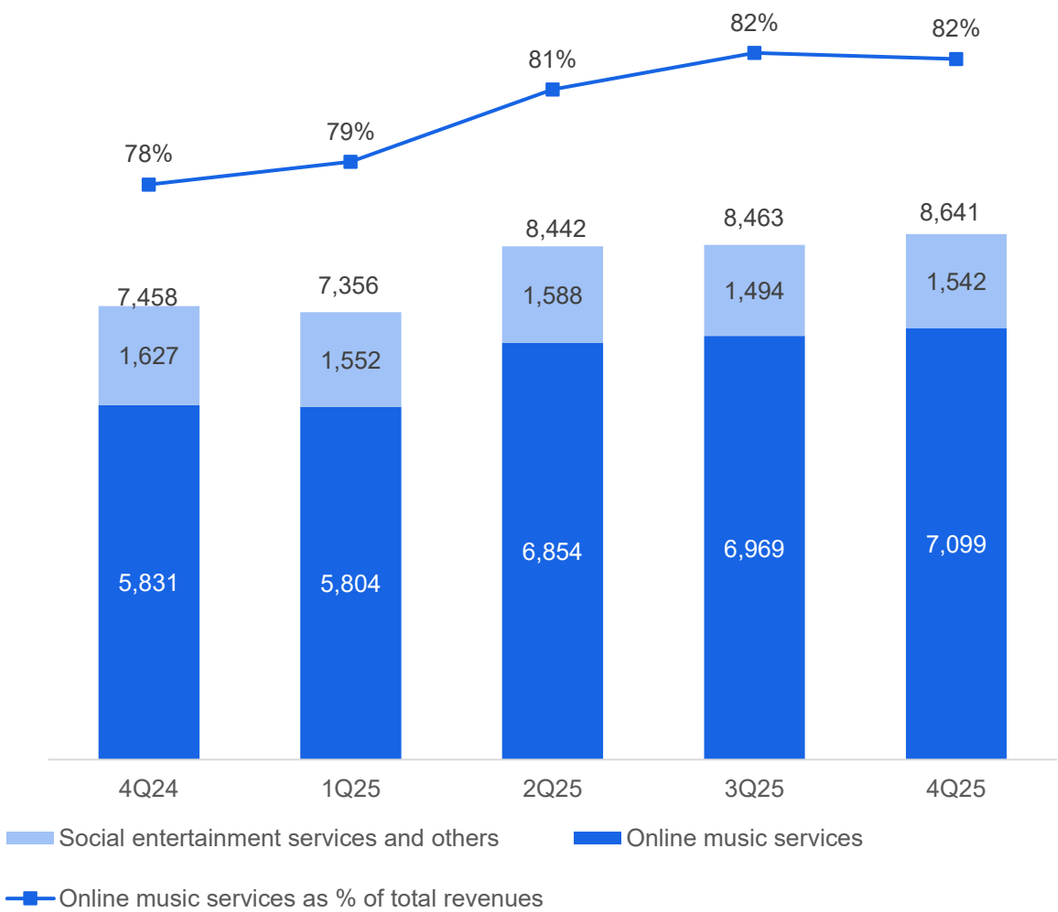
Note: Numbers may not add up due to rounding.

Diverse Revenue Streams and Healthier Revenue Mix

Robust online music revenue performance

Total Revenues

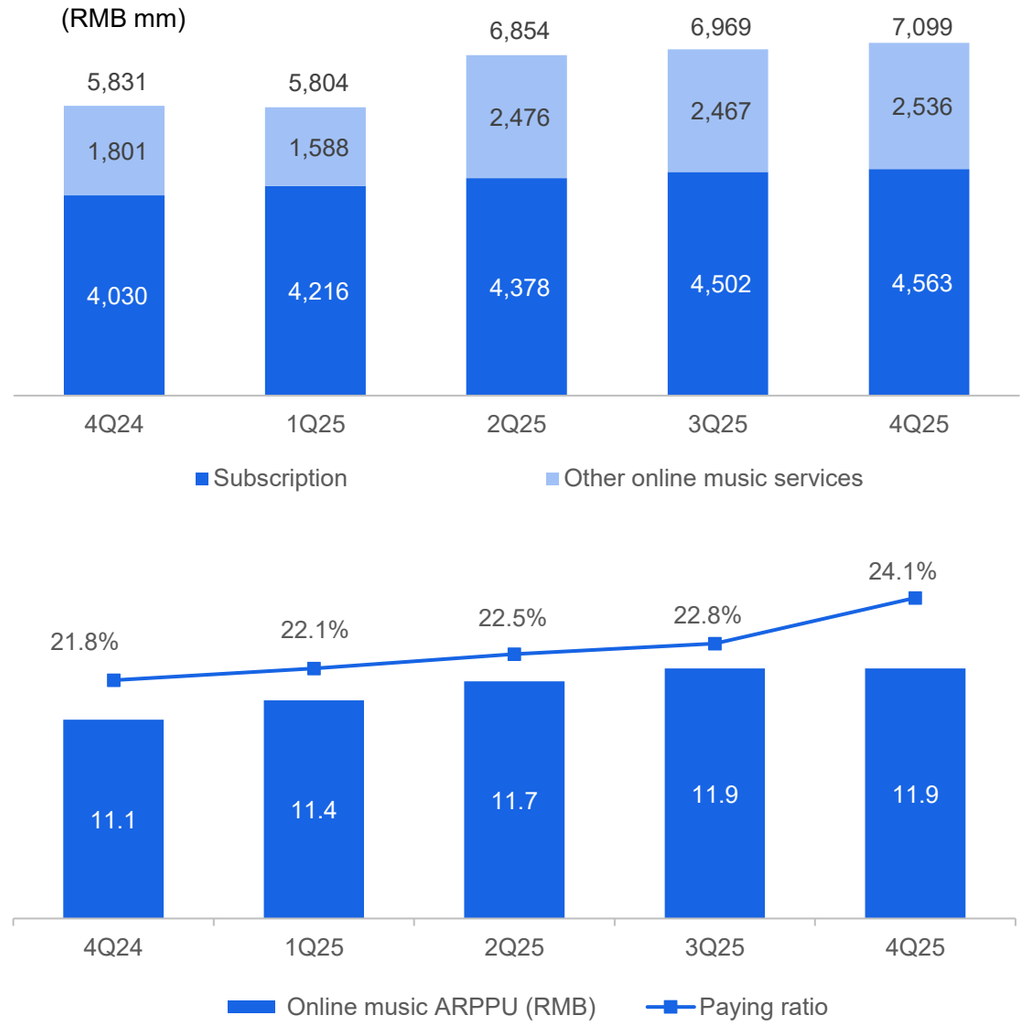
(RMB mm)



Subscription as a key growth driver

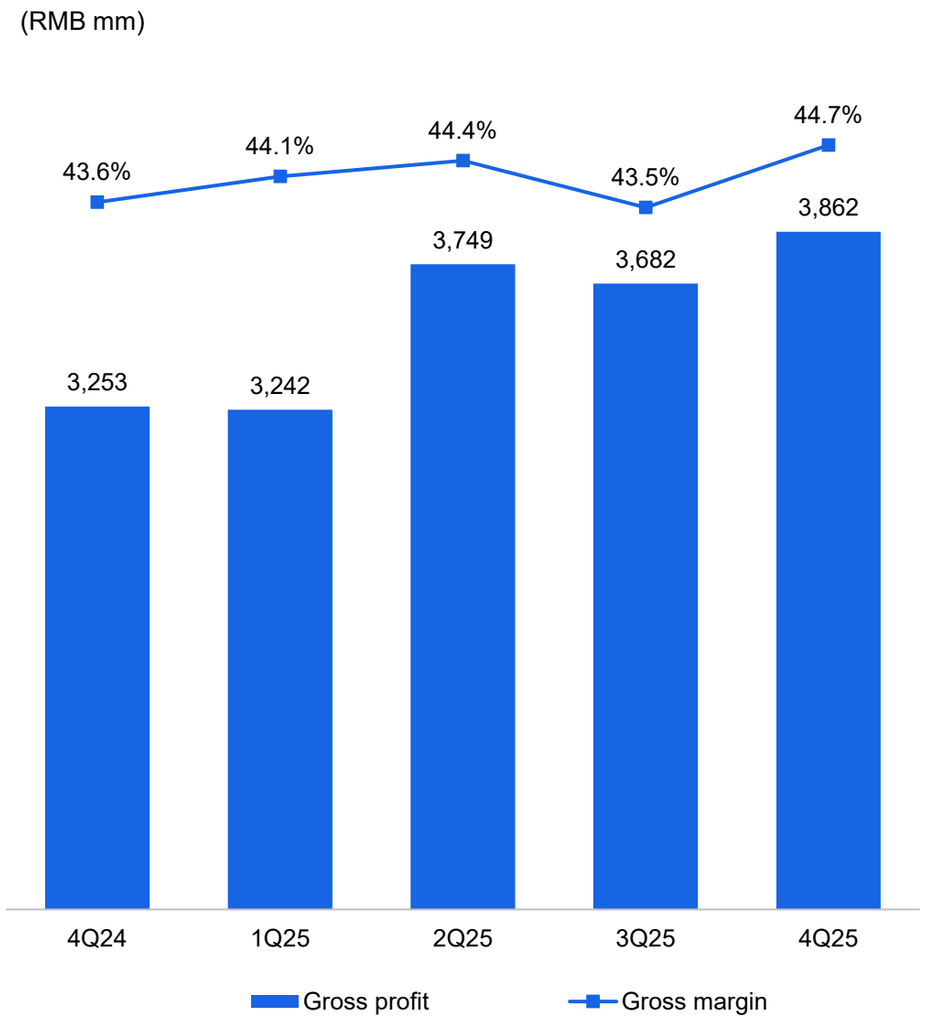
Online Music Revenues

(RMB mm)

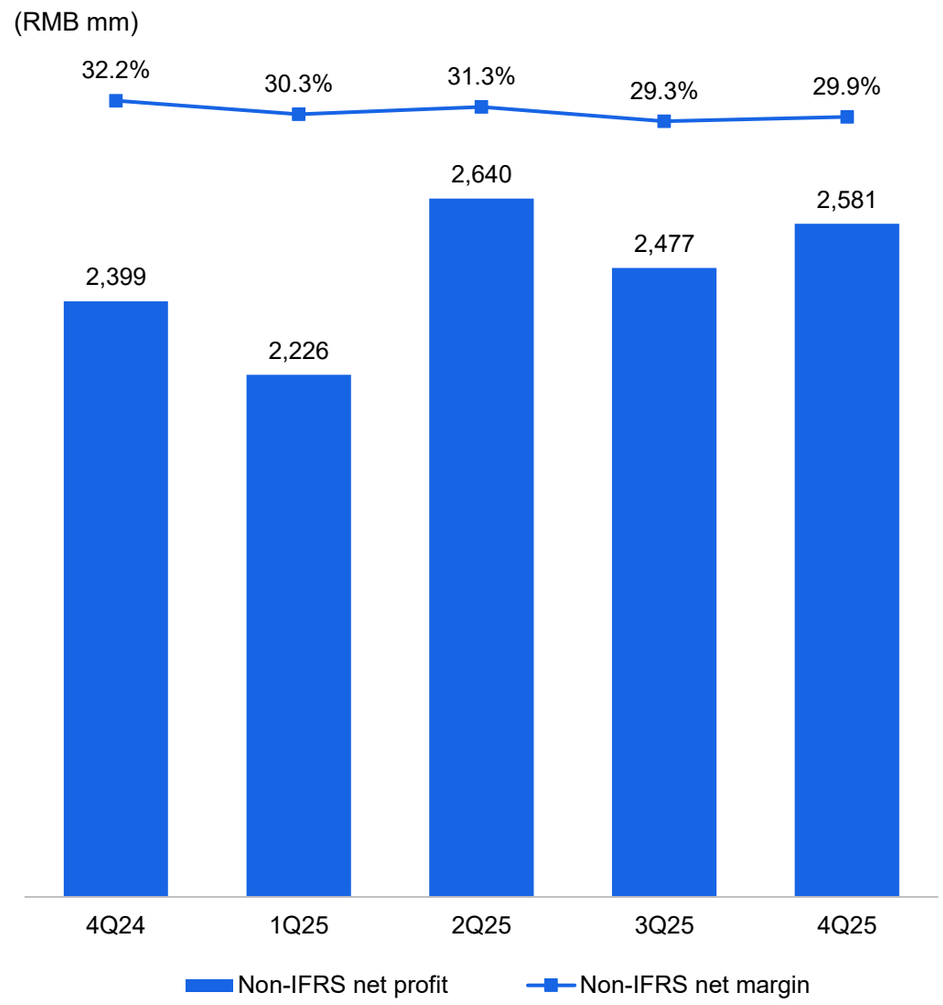


Expanded Gross Margin and Healthy Profitability

Gross profit and margin



Non-IFRS net profit[1] and margin



Note: 1. For non-IFRS net profit, please refer to the appendix for reconciliation details.

Solid Cash Position and Valuable Investment

Strong cash position & cash generation ability

RMB38.04bn
Cash, cash equivalents, term deposits and short-term investments[1]

RMB2.39bn
Operating cash flow[2]

Equity investments

RMB26.23bn
Financial assets at fair value through other comprehensive income[1]

RMB1.66bn
Investments accounted for using equity method[1]

Strong shareholder return

US$368mm
Annual cash dividend[3]

Share count

1.56bn
ADSs used in computing diluted earnings per ADS[2]

Note: 1. As of December 31, 2025; 2. In 4Q2025; 3. For the year ended December 31, 2025

Unaudited Non-IFRS Financial Measure

TENCENT MUSIC ENTERTAINMENT GROUP
UNAUDITED NON-IFRS FINANCIAL MEASURE

	Three Months Ended December 31			Year Ended December 31		
	2024	2025		2024	2025	
	RMB	RMB	US$	RMB	RMB	US$
	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited
	(in millions, except per share data)			(in millions, except per share data)		
Profit for the period/year	2,076	2,286	327	7,109	11,353	1,623
Adjustments:						
Amortization of intangible and other assets arising from business acquisitions or combinations*	110	95	14	440	386	55
Share-based compensation	156	161	23	681	680	97
Losses/(gains) from investments**	94	78	11	110	(2,285)	(327)
Income tax effects***	(37)	(39)	(6)	(204)	(210)	(30)
Non-IFRS Net Profit	2,399	2,581	369	8,136	9,924	1,419
Attributable to:						
Equity holders of the Company	2,280	2,485	355	7,671	9,588	1,371
Non-controlling interests	119	96	14	465	336	48
Earnings per share for Class A and Class B ordinary shares						
Basic	0.74	0.81	0.12	2.49	3.13	0.45
Diluted	0.73	0.80	0.11	2.45	3.08	0.44
Earnings per ADS (2 Class A shares equal to 1 ADS)						
Basic	1.48	1.61	0.23	4.97	6.25	0.89
Diluted	1.47	1.60	0.23	4.90	6.17	0.88
Shares used in earnings per Class A and Class B ordinary share computation:						
Basic	3,075,189,032	3,079,832,739	3,079,832,739	3,084,230,029	3,067,255,442	3,067,255,442
Diluted	3,112,342,854	3,115,495,322	3,115,495,322	3,130,861,720	3,108,803,728	3,108,803,728
ADS used in earnings per ADS computation						
Basic	1,537,594,516	1,539,916,369	1,539,916,369	1,542,115,015	1,533,627,721	1,533,627,721
Diluted	1,556,171,427	1,557,747,661	1,557,747,661	1,565,430,860	1,554,401,864	1,554,401,864

* Represents the amortization of identifiable assets, including intangible assets such as domain name, trademark, copyrights, supplier resources, corporate customer relationships and non-compete agreement etc., and fair value adjustment on music content (i.e., signed contracts obtained for the rights to access to the music contents for which the amount was amortized over the contract period), resulting from business acquisitions or combination.

** Including the net gains/losses on deemed disposals/disposals of investments, fair value changes arising from investments, impairment provision of investments and other expenses in relation to equity transactions of investments.

*** Represents the income tax effects of Non-IFRS adjustments.

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THANK YOU!

腾讯音乐娱乐集团
TENCENT MUSIC ENTERTAINMENT